Town of Ajax Report

Report To: General Government Committee

Prepared By: Mary Lou Cosentino, Manager HR Services

Subject: **2019 Council Member Remuneration**

Ward(s):

Date of Meeting: October 15, 2019

Reference: Council Remuneration By-Law

Recommendation:

That the attached 2019 Council Remuneration By-Law be brought forward to the October 15, 2019 Council Meeting for approval.

Background:

Based on the recommendations of a citizen's committee, Council established a process for setting their remuneration in 2008. HR Services conducts an annual survey of salaries and other allowances/payments provided to members of Council in the Durham Region (specifically the municipalities of Pickering, Whitby, Oshawa and Clarington). Salary, travel allowance and other entitlements are based on the average of the comparator municipalities.

It should be noted that tax exemption legislation was introduced under the *Federal Income Tax Act* in 1946 and elected officials were paying income tax on only 2/3rds of their total compensation (salary plus allowances). Effective January 1, 2019, the Federal government passed legislation (Bill C-44) to eliminate the tax exemption portion of elected officials remuneration. As a result, each individual municipality had to decide how they will address the impact of this change for their elected officials. All of the lakeshore municipalities with the exception of Clarington decided to fully compensate their elected officials for the loss so that their net pay was not impacted.

Discussion:

The analysis of the survey data completed by staff and recommended changes are detailed in this report.

Comparator Information

Salary Comparison

	Ajax	Pickering	Whitby	Oshawa	Clarington
Mayor	$91,177	$113,629	$124,251	$122,746	$93,124
Council	$37,355	$47,346	$43,463	$45,045	$37,250

Travel Allowance Comparison

Annual Travel Allowances

	Ajax	Pickering	Whitby	Oshawa	Clarington
Mayor	$13,675	$16,200	$14,369	Claim mileage	$13,296
Council	$8,425	$12,000	$7,012	$5,200 + mileage	$8,820

It should be noted that Oshawa's travel allowance was not included in the calculation of the average as specific annual travel allowance information was not available.

Pension Contribution Comparison – All elected officials

Ajax	Pickering	Whitby	Oshawa	Clarington
9% employer contribution	13% employer contribution	OMERS plan	RRSP contribution equivalent to OMERS (9% up to *YMPE, 14.6% Over the *YMPE)	OMERS Plan
			* 2019 YMPE - $57,400	

Recommendation:

That effective January 1, 2019, the Mayor and Council salary and travel allowance be adjusted to reflect the average of the lakeshore municipalities as follows:

Ajax	**Salary**	**Travel Allowance**	**Total**
Mayor	$113,438	$14,622	$128,060
Council	$43,276	$9,277	$52,553

It is also recommended that the employer pension contributions be adjusted to 10% for all elected officials.

Financial Implications:

The total cost impact for this recommendation as stated above is $72,728. It should be noted that during the 2019 budget approval process, Council was made aware of the 1/3 tax free implication and a general increase of 2% was forecasted. As a result $6,914 will be offset by the operating budget surplus and the balance of $65,814 has been accounted for in the current year's budget.

Communication Issues:

There are no communication impacts.

Conclusion:

This recommendation maintains comparable remuneration for Members of Council at the Town of Ajax.

Attachments:

ATT-1: Council Remuneration By-Law

Prepared by:

Mary Lou Cosentino, Manager, HR Services

Approved by:

Shane Baker, Chief Administrative Officer

THE CORPORATION OF THE TOWN OF AJAX

BY-LAW NUMBER XX-2019

A By-law to provide for the 2019 annual remuneration for
the Mayor and Members of Council of the Town of Ajax.

WHEREAS the *Municipal Act, 2001*, as amended, allows for the payment of remuneration and expenses to members of council and local boards and expenses be deemed as expenses incident to the discharge of their duties;

NOW THEREFORE the Council of the Corporation of the Town of Ajax enacts as follows:

1. ANNUAL SALARY

An annual salary shall be paid to each member of the Council of the Town of Ajax, effective January 1, 2019:

Mayor	$113,438.00 per annum
Regional Councillors	$43,276.00 per annum
Ward Councillors	$43,276.00 per annum

(a) Council's salary will be divided by 26 weeks to determine the biweekly pay.

2. TRAVEL ALLOWANCE

In addition to the sums identified in Section 1, each member of Council shall be provided a travel allowance, effective January 1, 2019:

Mayor	$14,622.00 per annum
Regional Councillors	$9,277.00 per annum
Ward Councillors	$9,277.00 per annum

3. PAYMENT FOR EXPENSES

The Mayor and members of Council shall be paid from time to time for expenses incurred in the normal performance of their duties in accordance with Council approved policies.

4. INSURED BENEFITS

(a) The Town will pay 100% of the premiums to an Insurance Benefit Carrier to provide benefits to members of Council. Enrollment in the Benefit Plan is mandatory.

(b) Newly elected members of Council will be enrolled in the Group Benefit Plan effective the first month following the date in which the Councillor is sworn in.

(c) The Group Benefit Plan will consist of extended health, dental coverage, member life insurance, accidental death & dismemberment (AD&D), and long term disability benefits. Details of the benefit coverage are outlined in the Benefit Booklet for Elected Officials.

(d) Benefits (including Retiree and Survivor) and eligibility for benefit coverage are subject to the terms and conditions of any governing master policy of the Benefit Carrier and/or any statutory requirements.

(e) Staff have the authority to add to or amend the Benefit Plan as may be required from time to time. In such cases, staff will advise members of Council prior to the change taking effect.

Benefits Over Age 65

(f) Members of Council remaining in office after the age of sixty-five (65) shall continue to receive extended health and dental coverage in accordance with the terms and conditions of the benefits plan.

(g) Life insurance and AD&D coverage shall be reduced to one times (1x) the member's salary when the member turns sixty-five (65).

(h) Life Insurance and AD&D coverage will terminate when the member turns seventy (70) years of age, or when the individual ceases to be a member of Council, whichever occurs first.

Retirement Benefits

(i) A member of council retiring from office between the ages of fifty-five (55) and sixty-four (64) and who have a minimum of fifteen (15) years of continuous service, will be eligible for Basic Health and Basic Dental benefits. This benefit will cease on the last day of the month in which the member attains the age of sixty-five (65).

Survivor Benefits

(j) Where a member of Council dies while holding office, their dependent(s) (meaning eligible dependents) who are listed on the member of Council's benefit plan at the time of death, will continue to receive medical and dental benefits until the earliest of:

  (i) a period of twenty-four (24) months following the date of death; or

  (ii) until the end of the month in which the eligible spouse turns sixty-five (65) years of age; or

  (iii) until the eligible dependent (if no spouse is listed) no longer qualifies as a "dependent" under the definition of the benefit carrier; or

  (iv) the spouse remarries.

5. REGISTERED RETIRED SAVINGS PLAN (RRSP)

(a) The Town will contribute 10% of a member's base salary to their RRSP provided the member is eligible to contribute. A member who is eligible to contribute may do so up to December 31st of the year they turn 71 years of age. The Town's contribution is considered a taxable benefit.

(b) The Town will calculate 10% of your base salary on December 31st of the current tax year for which the RRSP contribution is being made.

(c) In November of each year, HR Services will reach out to members of Council inquiring as to whether they are eligible to contribute 10% of their salary to their RRSP. Members of Council must respond to HR Services no later than December 1st.

(d) Once the Councillor responds, they will have up to January 31st of the new year in which to provide HR Services the proper paper work from their financial institution in which the RRSP contribution is to be sent.

(e) A member of Council who is no longer eligible to contribute due to age or as otherwise determined by legislation, shall have 10% of their base salary paid out to them on the last pay of December.

(f) A member of Council who leaves office or dies while in office prior to the end of December 31st, will receive 10% of their base wages earned as of their last date in office. In the event of death, the monies owed will be paid to the member's estate.

6. SEVERANCE

(a) A member of council with service of a minimum of four (4) consecutive years is eligible to receive severance upon ceasing to be a member by reason of:

(i) Election defeat

(ii) Resignation

(iii) Dying while in office

(b) Severance is payable at the rate of one month per year up to a maximum amount payable of 18 months

(c) If eligibility requirements as stated in 6(a) are met, a member of Human Resources will contact the elected official to prepare the severance package. Payment will be submitted as soon as practical.

(d) Severance may be payable in one lump sum or spread equally over a period not to exceed eighteen (18) months or any combination of the two payment methods.

(e) No member shall be entitled to receive severance who ceases to be a member by reason of, or by resignation which is a result of:

(i) Removal from office by judicial process

(ii) Disqualification and/or removal from office under or operation of any Act of the Parliament of Canada or the Legislature of the Province of Ontario

7. PREGRANCY AND PARENTAL LEAVE

Council members are entitled to be compensated in the event of a pregnancy or parental leave in accordance with Town of Ajax Policy 141, *"Pregnancy and Parental Leaves for Members of Council."*

8. CHANGES TO SALARIES, TRAVEL ALLOWANCES, RRSP CONTRIBUTION AND SEVERENCE PAY – ANNUAL COMPARISON

(a) In November of each year staff shall conduct a survey of salaries, travel allowance, RRSP contributions, and severance pay provided to members of Council in the municipalities of Pickering, Whitby, Oshawa and Clarington;

(b) The compensation survey will be the basis for review of the annual salary allowance to be paid for service as a member of the Council of the Town of Ajax for the subsequent calendar year; and,

(c) A report shall be presented to Council recommending any impending changes to Council member compensation based on the annual survey.

9. By-law 68-2017 is hereby repealed.

10. This By-law is deemed to come into force and take effect on January 1, 2019.

READ a first and second time this day ___ of _____, 2019

READ a third time and passed this ____ day of _____, 2019.

_____
Mayor

_____
D-Clerk